Probability, R and Computational Finance

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Introduction

> "What I hear, I forget; What I see, I remember; What I do, I understand"
>
> — Confucius, 551-479 BC

Our lectures are going to teach you basic concepts of probability and their applications in computational finance. Our approach is based on intuition and on understanding concepts by building them with your own hands.

But how can we build abstract concepts such as probability, random phenomena and chance by our own hands? How can we "touch" such things like an idea? While probability is a mathematical theory, it gains practical value and an intuitive meaning in connection with real or conceptual experiments such as, tossing a coin, rolling two dice, playing roulette, observing the change in the index value of stocks, bonds or in exchange rates, selecting a random sample of financial transactions in a payment system and observing the number of transactions with a value below a certain amount.

Many of these experiments we can nowadays do not only physically – by actually rolling a pair of dice, for example – but we can use the computer to build a virtual dice and roll it on the computer. We can build and simulate a huge variety of random phenomena. We can - for instance - implement models of random fluctuations of asset prices. We can model financial risks and contemplate possible future scenarios through simulation.

We can approach our understanding of abstract concepts by building them with our own hands on the computer. This is the approach to teaching you probability in this course.

There are many ways to build virtual objects and to run simulations to manipulate them. For this we will need a programming language. The language we choose for this course is R and the integrated development environment RStudio. This is one of the main languages used in data analysis, statistics and data science and is widely used in industry and academia. It will be our tool to do probability in this course.

Downloading and installing R

So lets start by downloading and installing R first. R is an open source project maintained by an international team of developers. The software is made available through a website called the comprehensive R archive network (http://cran.r-project.org).

At the top of this website, in a box named "Download and install R" you will find three links for downloading R. Choose the link that describes your operating system, Windows, Mac or Linux. These links will lead you to the necessary information you need to install a current version of R. The easiest install option is to install R from precompiled binaries. There is also the option to built R from source on all operationg systems if you have the tools and the expertise to do so. R also comes both in a 32-bit and a 64-bit version. It does not make a substantial differecne which version you use. 64-bit versions can handle larger files and datasets with fewer memory management problems.

Downloading and installing RStudio

RStudio is an application that helps you write and develop R code. It makes using R much easier for you than using it in isolation. The interface of RStudio looks the same across all operating systems.

You can download RStudio for free from https://www.rstudio.com/products/rstudio/. Select the box RStudio Desktop and follow the download instructions. RStudio Desktop is free. Note that you need to have a version of R installed to use RStudio.

If you have successfully installed R and RStudio, we are ready to start.

Empirical background and some terminology

If you chose to study Finance it should be natural for you to study probability. After all, Finance studies the allocation and pricing of money across time. You can safe money to use it later for purchasing goods and services you can borrow money to invest today and repay in the future from the revenues of your project. But the future is uncertain and we do not know today how it will look like. In Finance we unavoidably have to deal with risk and uncertainty. The most fundamental concept we have available to deal with risk and uncertainty and to think about and analyze it is probability. Therefore every serious student of Finance has to study probability early on.

Terminology

Probability is a mathematical theory. This theory gets practical value and intuitive meaning in connection with real or conceptual experiments such as rolling a dice, tossing a coin or selecting a random sample of stocks and observing their most extreme price drop over a given period of time or observing the frequency of car accidents etc. All of these descriptions are, however, rather vague. We have to be more precise what we mean by an experiment or observation.

When we use the term (random) *experiment* we mean a process leading to an uncertain outcome. To make this notion precise and useful we need to agree what we mean by uncertain outcomes.

Take the simple example of tossing a coin. In a practical situations the outcome of a coin toss can be that the coin lands on head or tail. But it could in principle also fall on an edge, stand and roll away. Still when we think about the experiment of tossing a coin in the theory of probability we agree *on the outset* that heads and tail are the only possible outcomes of this experiment. By such an agreement we have pinned down the possible outcomes.

The collection of all possible outcomes of an experiment is calles the *sample space*. While the sample space of the experiment of tossing a coin is an idealization

it is exactly this idealization which simplifies the theory without affecting its applicability.

Idealizations of this kind are standard in probability and are widely used also in Finance. It is - for example - impossible to know how high the price of a stock might become. Is there a maximal price beyond which the price can not possibly hike? Many of us would hesitate to claim that the price might rise without bound. Yet many models in applied Finance are based on such an assumption. The models allow arbitrary price hikes but with arbitrary small probability as the price gets higher and higher. Practically it does not make sense to believe that a security price can become arbitrarily high. The use of arbitrarily small probabilities in a financial model might seem absurd but it does no practical harm and makes the model simple and convenient to use. Moreover, if we seriously introduced an upper bound on a security price at x it would be also awkward to assume that it is impossible that it could be just a cent higher, an assumption equally unappealing than assuming it can get in principle arbitrarily high.

When we talk of a *basic outcome* we mean the possible outcome of a random experiment. An *event* is a subset of basic outcomes. Any event which consists of a single outcome in the sample space is called a *simple event*.

Probability is a measure of how likely an event of an experiment is. Thus when we talk about probability in a precise and meaningful sense we can only do so in relation to a given sample space or to a certain conceptual experiment.

Thus before we can begin to seriously talk about probability we need to develop a good understanding of experiments, sample spaces, basic outcomes and events. In the spirit of this course we will develop this understanding by building these concepts using R. Thus let us develop examples of random experiments, sample spaces, basic outcomes and events in parallel with making our first steps in R. R will be our tool which will allow us to "touch" probability concepts.

As we proceed through our course we will develop a broader and deeper understanding of this language together with the probability concepts.

Examples: Building experiments, sample spaces and events using R

Lets start with a classic and old example of a probability model: Rolling a six sided die. We want to roll this die not physically but on our computer using R and RStudio as our tool. How can we do this?

The R User Interface

Before we can ask our tool to do anything for us, we need to know how to talk to it. In our case RStudio allows us to talk to our computer. It works like any

other application. When you launch RStudio on your computer, you will see a screen looking like this:

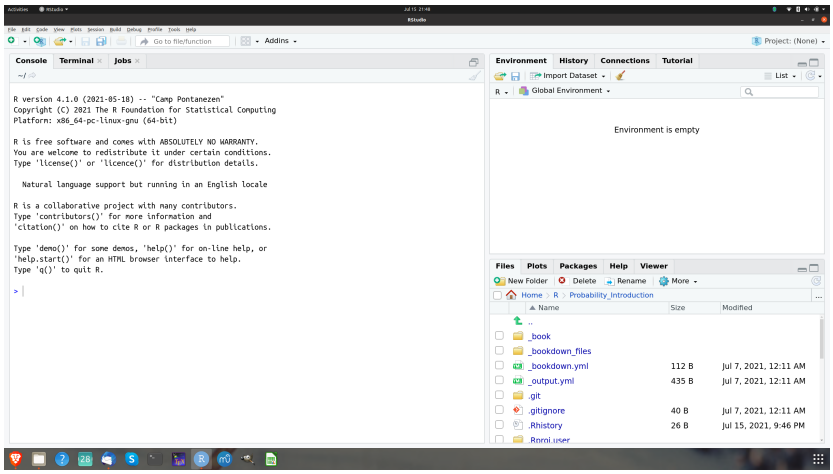

Figure 1: The RStudio startup screen

In this picture you see a screenshot of my RStudio screen. Interacting with the app is easy. You type commands via your keyboard at the prompt, which is the `>` symbol. You can see it in the left pane in the screenshot. You send the command to the computer by pressing enter. After you have pressed enter, RStudio sends the command to R and displays the result of your command with a new prompt to enter new commands, like this:

```
> 1 + 1
[1] 2
>
```

The `[1]` means that the line begins with the first value of your result. For example, if you enter the command `20:60` which means in the R language, "list all the integers from 20 to 60," and you then press return, you will get an output like this:

```
[1] 20 21 22 23 24 25 26 27 28 29 30 31 32 33 34 35 36 37 38 39 40 41 42 43 44 45 46 47 48 49 50
[34] 53 54 55 56 57 58 59 60
```

meaning that 20 is the first value displayed in your result. Then there is a line break because not all values can be displayed on the same line and R tells you that `53` is the 34-th value of the result.

The colon operator `:` is a very useful function in R which we will often need. It allows us to create sequences of every integer between two given integers.

R needs a complete command to be able to execute it, when the return key is pressed. If a command is incomplete, like for instance `5*`, where we enter 5, the

multiplication operator but no second factor to multiply 5 with R will show:

```
> 5*
+
```

The + sign means that R needs more input to complete the expression. So if we type the missing factor after the + prompt, say 4 and then press the return key again, we will get the result

```
> 5*
+ 4
[1] 20
```

If you type a command that R does not understand, you will be returned an error message. Don't worry if you see an error message. It just is a way the computer tells you that he does not understand what you want him to do.

For instance, if you type 5%3 you will get an error message like this

```
> 5%3
Error: unexpected input in "5%3"
>
```

Sometimes it is obvious why a mistake occurred. In this case, that R just does not know what to do with the symbol %. It has no meaning in this context. Sometimes it is not so obvious what the error message actually means and what you might do about it. A useful strategy in this case is to type the error message into a search engine and see what you can find. The chance is very high that others encountered the same problem before you and got helpful advice how to fix it from other users on the internet. One site, we find particularly helpful for all kinds of questions related to R and R programming is https://stackoverflow.com/. Try it at the next opportunity.

Now with this basic knowledge, we can already make the first step to create a die on the computer using R. If you think of a physical die, the essential thing that matters are the points on its six sides. If you throw the dice it will usually land on one of these sides and the side which is on the upper side of the die shows the number of points. The colon operator : gives us a way to create a group of numbers from 1 to 6. R gives us the result as a one dimensional set of numbers.

```
> 1:6
[1] 1 2 3 4 5 6
>
```

Lets use these first steps in R to recap the probability concepts we have learned using this example of the six sided die: A *basic outcome* of rolling a six-sided die is for example 6 if the upper side after rolling the die happens to be the side with 6 points. The *sample space* of the experiment of rolling a six-sided die is the set $\mathcal{S} = \{1, 2, 3, 4, 5, 6\}$. In probability theory we often use the symbol $\mathcal{S}$ or S for sample space. In many probability texts the sample space is also often denoted

by the symbol Ω the greek letter for (big) Omega. A *random experiment* in this example is the rolling of the die. The outcome is uncertain but once the die is rolled the outcome can be determined precisely. Finally we can also illustrate in the example the concept of an *event*: For example, the event, that the die will show less than 4 points is $A = \{1, 2, 3\}$. We use here the symbol A to denote this event and use set notation to describe the set of basic outcomes that make up the event "number of points smaller than 4." The event that the outcome is that the point shows 10 points is the empty set $B = \emptyset$. The symbol $\emptyset$ comes from set theory and means the set containing no elements. This event can contain no elements because we can not get a score of 10 by rolling a six sided die.

Objects

You can save data in R by storing them in *objects*. An object is a name, you can choose yourself to store data. For example, if you choose to store the value `6` in an object called `point_six`, you would type:

```
> point_six <- 6
>
```

at the prompt. R will the store the value 6 in the object called `point_six`, which you can use to refer to the value. If you type the name of your object at the prompt, R will distplay the value you have assigned. A usful key combination for typing the assignment operator `<-` is to use the key combination `ALT _`. At the R prompt R will automatically print an assignment operator.

```
> point_six
[1] 6
>
```

Now you can use the name of the object to refer to its value. For instance, you could divide `point_six`by 2and get a meaningful result

```
> point_six/2
[1] 3
>
```

Now to make our `die` more tangible and useful, let us store it in an R object by typing the following command at the prompt. This command creates an object with name `die` and assign the vector `1,2,3,4,5, 6` to it.

```
> die <- 1:6
>
```

You can now see in the right upper Environment pane that R shows you that there is an object with the name `die` that it consists of integers `1,2,3,4,5`. As you create more objects they will be stored in the Environment pane and are ready for your reference, unless you delete them. You can remove or delete an object by typing

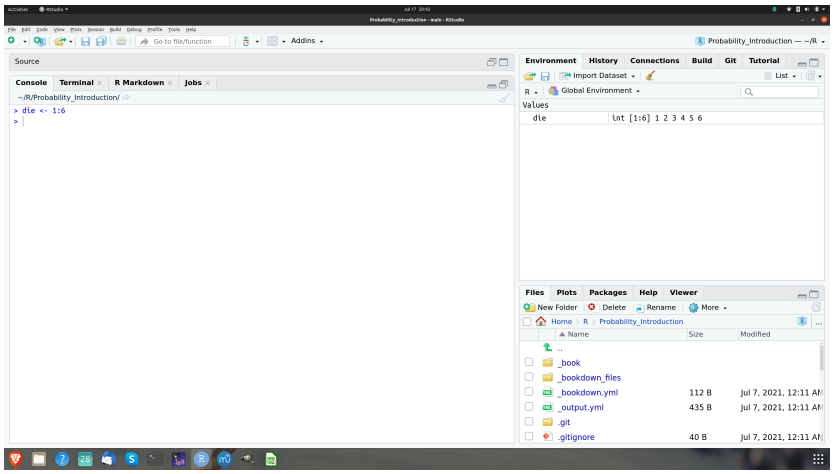

Figure 2: The RStudio Environment pane keeps track of the objects you have created

```
> rm(object)
>
```

or by assigning the value `die <- NULL` which would also remove the object from your environment or workspace.

You can name your objects almost anything with a few exceptions. An object name must not start with a number. There are some special symbols which can also not be used in object names, like `^, !, $, @, +, -, /, *`. Note that R is case sensitive and distinguishes small and big letters. If you assign a new value for an object you have already created, R will overwrite the object without warning.

You can see which objects are currently created and available for you in the Environment pane of your session of by typing `ls()`.

Before we learn how we can actually roll our die and perform a random experiment with it, let us briefly use the opportunity to explain a few things about how R does computations. We have already explained that we can use the object name to refer to the value. So for instance if we type

```
> die*die
[1]  1  4  9 16 25 36
>
```

This might irritate some of you. we have called the object a vector. In linear algebra multiplication of vectors is only allowed if there is an inner product. What happens here, if we use `*` the multiplication operator is that R does an element-wise multiplication of the six numbers of our die. Of course R alows to

take an inner product as well, but this needs a different operator. To compute an inner product, we would type

```
> die %*% die
     [,1]
[1,]   91
```

Now R displays the result as a vectors with one row and one column, which is denoted in the output by `[ , 1]` for the column and `[1, ]` for the row. We will learn later more about the use and the meaning of this notation in R.

The elementwise execution R usually uses also means that when you, for example type

```
> die - 1
[1] 0 1 2 3 4 5
>
```

R would subtract `1` from every component in the vector `die`.

Another specific behavior of R, you need to know about is called "recycling." If you give R two vectors of different length in an operation, R will repeat the shorter vector as long as it is of equal length with the longer one. For example, if you have:

```
> die + 1:2
[1] 2 4 4 6 6 8
>
```

you see that R adds 1 to 1 and 2 to 2 and then starts over again by adding 1 to 3 and 2 to 4 and then starts over once again by adding 1 to 5 and 2 to 6. If the longer vectors is not a multiple of the shorter one, R recycles but the ciuts off. It will give you a warning though.

```
> die + 1:4
[1] 2 4 6 8 6 8
Warning message:
In die + 1:4 :
  longer object length is not a multiple of shorter object length
>
```

While this might seem awakward to some of you, we will see that for data manipulation element-wise execution is often extremely useful. It allows to manipulate groups of values in a systematic way.

Functions

R contains many functions whcih we can use to manipulate data and compute things. The sytax for usuing a function is very simple: You type the function name and put the value of the function argument in parentheses. Here we use for

illustrations the function of the squareroot `sqrt()` and the function for rounding a number `round()`.

```
> sqrt(4)
[1] 2
> round(3.1415)
[1] 3
>
```

The data you write in the parentheses are called the fuction arguments. Arguments can be all sorts of things: raw data, R objects, results from other functions. If functions are nested, R evaluates the innermost function first and then goes on to the outer functions. To see examples of all these instances you can take

```
> mean(1:6)
[1] 3.5
> mean(die)
[1] 3.5
> round(mean(die))
[1] 4
>
```

for example.

For simulating random experiments, R has the function `sample()`. With this function we can roll our die on the computer and conduct actual random experiments. The function takes as arguments a vector names `x` and a numer named `size`. `sample` will return `size` elements randomly chosen from the vetcor `x`. Lets say:

```
> sample(x = 1:4, size = 2)
[1] 4 1
>
```

In this case `sample` has chosen `4,1` from the vector `x = (1,2,3,4)`. If we want to roll the die in our computer we can thus pass the die as an argument to `sample` and use the number `1` for the `size` argument. Lets do a few rolls with our die

```
> sample(x = die, size = 1)
[1] 3
> sample(x = die, size = 1)
[1] 2
> sample(x = die, size = 1)
[1] 3
> sample(x = die, size = 1)
[1] 5
> sample(x = die, size = 1)
[1] 1
> sample(x = die, size = 1)
```

```
[1] 5
>
```

R functions can have many arguments, but they need to be separated by a comma.

Every argument in every function has a name. We specify which data are assigned to the arguments by setting the name equal to the data. Names help us to avaoid passing the wrong data and thereby mixing up things or committing errors. But using names is not necessary. If we just wrote

```
> sample(die, 1)
[1] 5
>
```

R would also know what to do. It is not always clear which names to use for a function. If you are not sure, you can use the function `args` to look it up. Here we take the function `round` as one example.

```
> args(round)
function (x, digits = 0)
NULL
>
```

Note that the `digits` argument in the `round` function is already set to `0`. Frequently R functions come with optional arguments. These arguments are optional because the come with a default value, which is `0` in case of the round function.

We recommend that you write out argument names as a rule. It gives clearer code and avoids errors. If you don't write argument names, R matches your values to the arguments of the function by order.

Writing your own functions

Now we are ready to write our own function to roll the die in our computer. Each function in R has the same elements: A name, a function body of code and a set of arguments. To write your own function, you have to write up all of these parts and save them in an R object. The syntax is:

```
my_function <- function() {}
```

The name here is `my_function`, next comes the expression `function()` which needs to be assigned. The names of the function arguments have to be written between the parentheses. Then we have to write the actual code within the braces `{}`.

To do this for the die, lets write a function names `roll_die`.

```
> roll_die <- function(){die <- 1:6
```

```
sample(die, size = 1)}
```

Now we can roll our die for a few times to show how the function works

```
> roll_die()
[1] 4
> roll_die()
[1] 1
> roll_die()
[1] 5
> roll_die()
[1] 4
> roll_die()
[1] 6
>
```

Congratulations. You have written your first R function for conducting a simple random experiment. Think of the parentheses as a trigger that tells R to run the function. If you omitt the trigger R just prints the body of the function. When you run a function, all the code in the function body is executed and R returns the result of the last line of code. If the last line of code does not return a vlaue neither will R.

Arguments

Imagine we remove the first line of code in our function body and changed the name die in the sample function to ball.

```
roll_die2 <- function(){sample(ball, size = 1)}
```

If we call the function now, we will get an error

```
> roll_die2()
Error in sample(ball, size = 1) : object 'ball' not found
```

We could supply ball when we call “‘roll_die2“ if we make ball an argument of the function. Lets do this:

```
> roll_die2 <- function(ball){sample(ball, size = 1)}
>
```

Now the function will work as long as we supply `ball` when we call the function.

```
> roll_die2(ball = 1:6)
[1] 2
>
```

Note that we still get an error, if we forget to supply ball argument

```
> roll_die2()
Error in sample(ball, size = 1) :
```

```
  argument "ball" is missing, with no default
```

This could be avoided if we give the function a default argument

```
> roll_die2 <- function(ball= 1:6){sample(ball, size = 1)}
> roll_die2()
[1] 4
>
```

Scripts

So far we have worked by interacting with the console. But what if you want to edit your functions? It would be much easier, if you could use a draft of your code and work form there. This can be done by using a *script*.

You create a script by going to `File > New File > R script` in the menu bar of RStudio. Using scripts is the stander way to write code in R. It not only helps you to keep track of your code, save it and edit it later. It also makes your work reproducible. You can edit and proofread your code and share it with others. To save your script go to `File > Save As` in the menu bar.

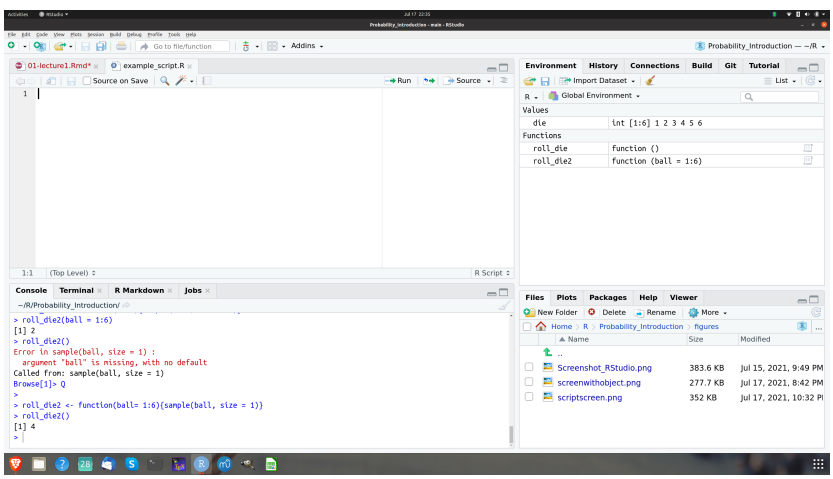

Figure 3: The RStudio Script

RStuido has many useful features to help you work with scripts. You can for instance automatically execute a line in a code by using the run button. You can also execute sections of code or the entire script. The entire script is executed by running the Source button. For all these commands there are key short cuts which you will learn as you work more with RStudio and R.

Some more examples

Literature

Here is a review of existing methods.

Methods

We describe our methods in this chapter.

Applications

Some *significant* applications are demonstrated in this chapter.

Example one

Example two

Final Words

We have finished a nice book.

Appendix

Installing R

Installing RStudio